dynamics without observing that between 40% and 70% of world trade in the early 21st century was intrafirm or associational, that some 40% of exports from China came from TNCs based in that country, and that much of the remaining 60% was accounted for by associational forms involving Chinese and transnational investors. These transnational class and social relations are concealed behind nation-state data. When we focus on the production, ownership structures, class and social relations that lie behind nation-state trade data, we are in a better position to search for causal explanations for global political and economic dynamics.

The international division of labour, characterised by the concentration of finance, technology, and research and development in traditional core countries and low-wage assembly (along with raw materials) in traditional peripheral countries, is giving way to a global division of labour in which core and peripheral productive activities are dispersed as much within, as among, countries. Contrary to the expectations of nation-state-centric theories, TNCs originating in traditionally core countries no longer jealously retain their research and development (R&D) operations in their countries of origin. The United Nations Conference on Trade and Development (UNCTAD) dedicated its 2005 annual World Investment Report to the rapid internationalisation of R&D by transnational corporations. Applied Materials, a leading solar technology company headquartered in California, shifts components for its solar panels all over the world and then assembles them at distinct final market destinations. The company decided in 2009, however, to open a major R&D centre in western China that is the size of 10 football fields and employs 400 engineers. Moreover, many companies that previously produced in the traditional core countries are investing in new facilities in these 'emerging economies' in order to achieve proximity to expanding local markets.

This does not mean that there are no political tensions in international forums. These forums are highly undemocratic and are dominated by the old colonial powers as a political residue of an earlier era. But these international political tensions – sometimes geopolitical – do not indicate underlying structural contradictions between rival national or regional capitalist groups and economic blocs. The transnational integration of these national economies and their capitalist groups has created common class interests in an expanding global economy. And besides, as I have already observed, capitalist groups from these countries form part of transnational conglomerates in competition with one another. The inextricable mixing of capitals globally through financial flows simply undermines the material basis for the development of powerful